

Chapter 8. The Investor and Market Fluctuations

- [1.](#) Except, perhaps, in dollar-cost averaging plans begun at a reasonable price level.
- [2.](#) But according to Robert M. Ross, authority on the Dow theory, the last two buy signals, shown in December 1966 and December 1970, were well below the preceding selling points.
- [3.](#) The top three ratings for bonds and preferred stocks are Aaa, Aa, and A, used by Moody's, and AAA, AA, A by Standard & Poor's. There are others, going down to D.
- [4.](#) This idea has already had some adoptions in Europe—e.g., by the state-owned Italian electric-energy concern on its “guaranteed floating rate loan notes,” due 1980. In June 1971 it advertised in New York that the annual rate of interest paid thereon for the next six months would be $8 \frac{1}{8}\%$.

One such flexible arrangement was incorporated in The Toronto-Dominion Bank's “7%–8% debentures,” due 1991, offered in June 1971. The bonds pay 7% to July 1976 and 8% thereafter, but the holder has the option to receive his principal in July 1976.